



ORIENT FINANCE PLC

Unaudited Interim Financial Statements

For the 09 Months Ended 31 December 2017

ORIENT FINANCE PLC

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

	Quarter ended 31st Dec		For the 09 Months Ended 31 Dec		
	2017 Rs. Unaudited	2016 Rs. Unaudited	2017 Rs. Unaudited	2016 Rs. Unaudited	Variance %
Income	850,821,119	861,672,193	2,584,030,902	2,419,078,725	7%
Interest income	801,275,677	815,382,537	2,459,492,602	2,281,410,425	8%
Interest expenses	(533,946,363)	(505,503,722)	(1,604,058,916)	(1,327,356,464)	21%
Net interest income	267,329,314	309,878,815	855,433,686	954,053,961	-10%
Fee and commission income	34,053,386	34,047,595	81,992,442	97,554,621	-16%
Other operating income	15,492,056	12,242,061	42,545,858	40,113,679	6%
Total operating income	316,874,756	356,168,471	979,971,986	1,091,722,261	-10%
Impairment charges/(reversal) for loans and receivables to customers	(159,033,121)	(82,431,983)	(390,018,449)	(241,816,073)	-38%
Net operating income	157,841,635	273,736,488	589,953,537	849,906,188	-31%
Operating expenses					
Personnel expenses	(101,862,396)	(85,324,509)	(290,950,307)	(255,198,380)	-12%
Depreciation and amortization	(6,025,475)	(7,357,814)	(17,302,940)	(24,016,248)	39%
Value Added Tax and NBT on financial services	(6,381,349)	(17,938,902)	(30,665,333)	(45,625,167)	49%
Other operating expenses	(121,723,725)	(105,957,210)	(360,282,694)	(314,044,011)	-13%
Profit/(Loss) Before Tax	(78,151,310)	57,158,053	(109,247,737)	211,022,382	-152%
Income tax expense	(1,278,004)	(7,232,834)	(5,152,392)	(30,676,292)	495%
Profit / (Loss) for the period	(79,429,314)	49,925,219	(114,400,129)	180,346,090	-163%
Other Comprehensive Income					
Available for sale financial assets - Net change in fair value	1,615,171	(875,119)	5,091,546	3,735,812	36%
Other comprehensive income for the period	1,615,171	(875,119)	5,091,546	3,735,812	
Total comprehensive income for the period	(77,814,143)	49,050,100	(109,308,583)	184,081,902	-159%
Basic earnings per share (Rs.)	(0.53)	0.36	(0.77)	1.28	
Diluted earnings per share (Rs.)	(0.53)	0.36	(0.77)	1.28	

Figures in brackets indicate deductions.

ORIENT FINANCE PLC
STATEMENT OF FINANCIAL POSITION

As At	31 December 2017 Rs. Unaudited	31 March 2017 Rs. Audited
ASSETS		
Cash and cash equivalents	173,183,841	107,894,350
Available for sale financial assets	881,796,347	839,887,069
Loans and receivables to customers	14,834,053,105	16,416,103,144
Investments with banks and other financial institutions	953,924,961	369,160,064
Other assets	193,696,545	197,047,025
Real estate stock	19,546,107	22,469,524
Deferred tax asset	272,289,512	275,622,280
Goodwill	564,545,746	564,545,746
Brand value	235,880,000	235,880,000
Intangible assets	105,510	105,510
Property, plant and equipment	424,885,112	421,315,170
Total assets	18,553,906,786	19,450,029,882
LIABILITIES		
Bank overdrafts	124,341,544	598,251,884
Deposits from customers	12,277,798,742	9,565,559,962
Interest bearing borrowings	1,861,283,327	4,815,150,455
Term debts	973,071,066	985,716,469
5 Year, Redeemable Preference shares	442,400,054	406,954,566
Current tax payable	-	2,136,340
Other liabilities	472,847,347	530,785,736
Non interest bearing security deposits	73,321	848,126
Retirement benefit obligations	48,677,502	44,899,285
Total liabilities	16,200,492,903	16,950,302,823
EQUITY		
Stated capital	1,378,689,779	1,378,689,779
Statutory reserve fund	305,274,930	305,274,930
Available for sale reserve	3,545,954	(1,545,592)
Revaluation reserve	116,471,908	116,471,908
Retained earnings	549,431,312	700,836,034
Total equity	2,353,413,883	2,499,727,059
Total equity and liabilities	18,553,906,786	19,450,029,882
Net assets per share	15.90	16.89

Figures in brackets indicate deductions.

The financial statements are in compliance with the requirements of the Companies Act No.07 of 2007.


Sanjeeva Jayasinghe
 Senior Manager - Finance


Mayura Fernando
 Chief Executive Officer

The Board of Directors is responsible for the preparation and presentation of these Financial Statements.

Approved and signed for and on behalf of the Board;


Dr. Dayanath Jayasuriya
 Chairman


Prakash Schaffter
 Director

Colombo
 14th February 2018

ORIENT FINANCE PLC
STATEMENT OF CHANGES IN EQUITY

For the 09 Months Period Ended 31 December 2017,

	Stated Capital	Statutory reserve fund	Revaluation reserve	Available for sale value reserve	Retained earnings	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Balance as at 01 April 2016	1,378,689,779	292,391,119	116,471,908	(377,544)	455,805,711	2,242,980,973
Profit for the year	-	-	-	-	180,346,090	180,346,090
Other comprehensive income net of taxes	-	-	-	3,735,812	-	3,735,812
Transfer to statutory reserve	-	36,069,218	-	-	(36,069,218)	-
Balance as at 31 December 2016	1,378,689,779	328,460,337	116,471,908	3,358,268	600,082,583	2,427,062,875
Balance as at 01 April 2017	1,378,689,779	305,274,930	116,471,908	(1,545,592)	700,836,034	2,499,727,059
Profit / (Loss) for the year	-	-	-	-	(114,400,129)	(114,400,129)
Other comprehensive income net of taxes	-	-	-	5,091,546	-	5,091,546
Dividend Paid					(37,004,593)	(37,004,593)
Transfer to statutory reserve	-	-	-	-	-	-
Balance as at 31 December 2017	1,378,689,779	305,274,930	116,471,908	3,545,954	549,431,312	2,353,413,883

Figures in brackets indicate deductions.

ORIENT FINANCE PLC
CASH FLOW STATEMENT

For the 09 Months Period ended 31 December

	2017	2016
	Rs.	Rs.
Cash flows from operating activities		
Profit before income tax expense	(109,247,737)	211,022,382
Adjustment for;		
Depreciation / Amortization	17,258,888	24,016,248
Profit on disposal of property,plant and equipment	244,190	(13,632,643)
Impairment charge/(reversal)	390,018,449	241,816,073
Finance expenses	1,604,058,916	1,327,356,464
Investment income	(106,697,148)	(83,096,795)
Provision for gratuity	8,236,845	7,490,328
Operating profit before working capital changes	1,803,872,403	1,714,972,057
Change in loans and receivables from customers	1,192,031,590	(2,514,843,801)
Change in other receivables	3,350,480	13,261,350
Change in deposits from customers	2,618,659,384	(189,402,589)
Change in other payables	(57,938,389)	295,174,657
Change in non interest bearing security margins	(774,805)	(382,586)
	5,559,200,663	(681,220,912)
Interest paid	(1,392,115,671)	(1,363,202,627)
Income tax paid	(2,136,340)	-
Gratuity paid	(1,822,681)	(2,583,171)
Net cash used in operating activities	4,163,125,971	(2,047,006,710)
Cash flows from investing activities		
Acquisition of property,plant and equipment	(21,213,183)	(15,562,677)
Proceeds from sale of property,plant and equipment	140,209	18,421,696
Proceeds from sale of Real Estate Sock	2,923,417	8,990,009
Net change in available for sale financial assets	(36,817,732)	(133,638,842)
Net change in investments with banks and other financial institutions	(584,764,897)	93,415,715
Investment income received	106,697,148	83,096,795
Net cash generated from investing activities	(533,035,038)	54,722,696
Cash flows from financing activities		
Dividends Paid	(37,004,593)	-
Interest bearing borrowings obtained	3,303,699,041	7,450,397,383
Repayment of interest bearing borrowings	(6,267,129,925)	(5,476,982,794)
Ineterest paid for Debentures	(90,455,626)	(204,000,000)
Repayment of Debentures	-	-
Net cash generated from financing activities	(3,090,891,102)	1,769,414,589
Net change in cash and cash equivalents	539,199,831	(222,869,425)
Cash and cash equivalents at the beginning of the year	(490,357,534)	(201,695,426)
Cash and cash equivalents at the end of the year (Note A)	48,842,297	(424,564,851)
Note A		
Analysis of cash and cash equivalents at the end of the year		
Cash in hand	112,641,804	110,027,391
Cash at bank	60,542,037	46,003,102
Bank overdrafts - secured	(124,341,544)	(580,595,344)
	48,842,297	(424,564,851)

Figures in brackets indicate deductions.

NOTES TO THE FINANCIAL STATEMENTS

- 1 These Interim Financial Statements of the Company have been prepared based on the Sri Lanka Accounting Standards that came into effect from January 01, 2012 (SLFRS/LKAS). There were no changes to the Accounting Policies and methods of computation since the publication of the Audited Financial Statements for the Year Ended 31 March 2017. Further, these Interim Financial Statements have been prepared in compliance with the requirements of the Sri Lanka Accounting Standard 34 (LKAS 34) on Interim Financial Reporting. Previous year figures and phrases have been re-arranged wherever necessary to conform to the current presentation.
- 2 There are no material events that took place after the reporting date that require adjustments to or disclosure in the Financial Statements except the final dividend paid to Ordinary shareholders amounting to Rs. 37,004,592.50 as approved in the AGM held on 18th August 2017.
- 3 All known expenses have been provided for in these Financial Statements.
- 4 There are no significant changes in the nature of the Contingent Assets or Contingent Liabilities which were disclosed in the Audited Financial Statements for the year ended 31st March 2017.

Listed Debenture Information

Debenture	31-Dec-17 Rs	31-Dec-16 Rs
Debentures Issued in 2014	1,000,000,000	1,000,000,000
	1,000,000,000	1,000,000,000

Debenture	31-Dec-17	31-Dec-16
Market Prices - (Highest/ Lowest/ Closing)	N/T*	N/T*
Debt to Equity Ratio (Times)	6.66	6.52
Interest Coverage Ratio (Times)	0.95	1.16
Liquid Asset Ratio	9.42%	8.87%
Interest Rate of comparable Government Securities	9.52%	11.71%
Interest Yield as at Date of Last Trade	N/T*	N/T*
Yield to maturity as of Last Trade	N/T*	N/T*

* N/T - Not Traded

Ordinary Share Information

The Company's Ordinary Shares are listed on the Diri Savi Board of the Colombo Stock Exchange (CSE).

<u>Stated Capital</u>	31-Dec-17	31-Dec-16
Value of Ordinary Shares (Rs.)	1,378,689,780	1,378,689,780
No. of Ordinary Shares	148,018,370	148,018,370

Share Price During the Period	For the Quarter Ended 31-Dec-17	31-Dec-16
Highest (Rs)	17.00	16.70
Lowest (Rs)	12.00	12.30
Closing (Rs)	16.20	13.50

ORIENT FINANCE PLC**NOTES TO THE FINANCIAL STATEMENTS****Shareholders as at 31 December 2017**

Name	No. of Shares	%
1 Janashakthi Plc	132,940,720	89.81
2 First Capital Limited	3,210,043	2.17
3 Dunamis Capital Plc	1,706,792	1.15
4 Seylan Bank Plc/S.R. Fernando	610,503	0.41
5 Code-Gen International Pvt Ltd	484,400	0.33
6 Commercial Credit And Finance Plc	330,000	0.22
7 Merchant Bank of Sri Lanka/ J.H. Wanithunga	285,090	0.19
8 R.R.H.Perera	253,305	0.17
9 A.S.A.Fernando	226,292	0.15
10 Dr.N.C.N. Amarasena	205,721	0.14
11 Mrs. M.N.S. Fernando	200,000	0.14
12 Mr.K.D.Y.Pathiraja	200,000	0.14
13 Mr.A.K.D.S.Karunaratna	194,000	0.13
14 Mr. N.L.S. Fernando	192,802	0.13
15 Merchant Bank of Sri Lanka/ J. Liyanage	193,632	0.13
16 DFCC Bank PLC/ P.S.R.Cassie Chitty	160,000	0.11
17 Mr. R.E. Rambukwella	157,000	0.11
18 Seylan Bank PLC/ L.C.R.Pathirana	145,003	0.10
19 Mr. H.D.M.P.Siriwardena	135,300	0.09
20 Mr.K.D.A.Weerasinghe	133,400	0.09
Others	6,054,367	4.09
Total	148,018,370	100.00

Directors' Shareholding as at 31 December 2017

Name of the Director	No. of Shares	%
1. Dr. D.C. Jayasuriya PC - Chairman	-	-
2. Mr. Prakash Schaffter	10	-
3. Mrs. Lakshmi K. Gunatilake (Resigned w.e.f..31 Oct 2017)	-	-
4. Mr. Ananda W. Atukorala	-	-
5. Mr. K. M. A. T. B. Tittawella	-	-
6. Ms. Minette D. A. Perera	-	-
7. Ms. Indrani Goonesekara	-	-
8. Mr. Ramesh Schaffter (Alternative Director to Mr. Prakash Schaffter)	10	-
	-	-
Total	20	-

CEO's Shareholding as at 31 December 2017

Mr.Mayura Fernando	-	-
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Public Holding as at 31 December 2017

Number of Public Shareholders	15,077,610	10.19
	612	

ORIENT FINANCE PLC
FIANANCIAL REPORTING BY SEGMENTS
Business Segments

The company has two reportable segments, as described below, which are the company's strategic divisions. The strategic divisions offer different products and services, and are managed separately because they require different technology and marketing strategies. For each of the strategic divisions, the company's management reviews internal management reports on at least a monthly basis. The following summary describes the operations in each of the company's reportable segments.

Hire purchase, finance leasing and loans - Provision of hire purchase, finance leasing and loan facilities to customers

Factoring - Debt factoring

For the 09 Months Period Ended 31st December	Finance Leases, Hire purchases and Loans		Factoring		Unallocated		Total	
	2017 Rs	2016 Rs	2017 Rs	2016 Rs	2017 Rs	2016 Rs	2017 Rs	2016 Rs
Interest income	2,145,323,240	2,029,342,007	190,495,871	166,616,437	123,673,491	85,451,981	2,459,492,602	2,281,410,425
Fee and commision income	49,715,532	62,627,809	31,651,119	34,926,812	625,791	-	81,992,442	97,554,621
Other income	37,499,158	19,002,089	-	-	5,046,700	21,111,590	42,545,858	40,113,679
Total segmental income	2,232,537,930	2,110,971,905	222,146,990	201,543,249	129,345,982	106,563,571	2,584,030,902	2,419,078,725
Less: Interest expense	(1,453,821,772)	(1,219,477,850)	(130,103,005)	(104,840,103)	(20,134,138)	(3,038,511)	(1,604,058,915)	(1,327,356,464)
Segmental results	778,716,158	891,443,855	92,043,985	96,751,932	109,211,844	103,526,474	979,971,987	1,091,722,261
Depreciation and amortization	(15,682,336)	(16,811,374)	(1,403,418)	(720,487)	(217,186)	(6,484,387)	(17,302,940)	(24,016,248)
Impairment charge/(reversal)	(327,395,296)	(229,487,758)	(62,988,431)	(11,472,661)	365,279	(855,654)	(390,018,448)	(241,816,073)
Other Expenses	(369,830,701)	(306,390,591)	(24,390,199)	(24,158,482)	(287,677,434)	(284,318,485)	(681,898,334)	(614,867,558)
Income tax	-	-	-	-	(5,152,392)	(30,676,292)	(5,152,392)	(30,676,292)
Profit after tax	65,807,825	338,754,132	3,261,937	60,400,302	(183,469,889)	(218,808,344)	(114,400,127)	180,346,090
Segmental assets	13,444,686,575	14,795,941,398	1,203,169,578	1,272,026,400	3,906,050,632	3,221,408,249	18,553,906,786	19,289,376,047
Segmental liabilities	320,146,273	812,114,444	-	-	15,880,346,630	16,057,696,515	16,200,492,903	16,869,810,959